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Swiftian Economics – Resurgence or Trend?

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It is no secret that Taylor Swift is one of, if not the most successful artists to date. Her recent *Eras* tour has domineered headlines across the world as economists, policymakers, and Swifties alike try to comprehend the massive tyrant of money being injected into local economies and taken out of the pockets of spenders at a time when the

geo-economic state of the world is shaky at best. Dubbed *Swiftonomics* or *Swiftian Economics*, the phenomenon of the *Eras wave* has rocked American cities and is expected to rock Toronto to its core. But what is the actual impact of her tour? Moreover, is her success pandemic resurgence, or is there a deeper trend in the history of mega stars propping up economies?

Swiftonomics – A Context

First, laying the foundation of what is being dubbed Swiftonomics is essential. The name, coined by Augusta Saraiva from Bloomberg, arose from her analysis of the interplay between high demand, limited supply, willingness to pay, and monopoly concerns in the post-COVID economy through the lens of the massively successful Swift tour this year. Saraiva notes that post-COVID demand shock, a willingness to pay and see a mega star coupled with business savviness on the part of ticket sellers and Swift herself have left a demand and supply issue to be studied for the ages (1).

The term then described the massive economic benefit of her tour to local economies. As the *Wall Street Journal* notes in a recent article, the *Eras* tour is set to generate \$1 billion in profit as it fills giant football stadiums night after night, and with those night-after-night sellout performances comes night-after-night sellouts for hotels, Air BnBs and just about every other kind of accommodation you can think of (2). The Federal Reserve Bank of Philadelphia even noted as much during Swift's time there in May as they reported that May was the city's strongest month for hotel revenue since the onset of the pandemic (3). And it was not a one-off either; Chicago, Minneapolis and Cincinnati all reported record growth during Swift's time in their respective cities (4).

But it is not just a US phenomenon. The *Eras* tour also grabbed the international economies' attention. Economists who observed a spike in inflation around services like hotels and food in Southeast Asia during Swift's time in the region termed it "Swiftflation"(5). Marketing

professor Seshan Ramaswami wrote, “The Eras Tour is one of the significant steps in a movement involving the Government of Singapore’s conscious attempts to expand the demographic reach of the city-state’s cultural tourism (6).” In France alone, more than 900 000 fans tried to buy tickets during the French leg of the tour, causing Ticketmaster to suspend services for fear of crashing their servers (7).

Even here at home, Swiftian economics has rocked the boat and caused some excitement. As her Eras tour nears Toronto, the arrival of Taylor Swift will herald a noteworthy milestone as she takes the stage for an unprecedented six performances at the Rogers Centre, which boasts a capacity that can surpass 50,000 attendees. With the prevailing expectation of all these performances being sold out (as they have been everywhere else), the cumulative audience could exceed 300,000 individuals. With that many people, reporter Joshua Chong for the Toronto Star notes:

“The timing of her concerts also comes at a valuable time of year for the hospitality sector... Swift’s six concerts will be spread across ten days...Typically, in late November, you’d see a bit of a softening of the business. So having a major driver for the destination in that period is very important (8).”

With perfect timing, the right conditions, and a highly anticipated event, it is safe to say that Toronto will be seeing a similar kind of economic upturn as was seen elsewhere. With people flocking to hotels and looking to buy any Swift merch (official or not), it will bring millions into the city and a significant amount of cash back into the region’s economy.

In summary, “Swiftonomics” encapsulates the intricate interplay of economic forces spurred by Taylor Swift’s monumental tour. This term embodies the confluence of post-COVID demand resurgence, the fervent willingness of fans to invest in experiencing a global sensation, the strategic orchestration of ticket distribution, and the broader

backdrop of monopolistic concerns. Swift's tour extends beyond entertainment, yielding substantial economic implications reverberating across various geographies.

The tour's impact is profound, resulting in extraordinary profits and a reverberating economic ripple effect. Noteworthy examples abound, with cities like Philadelphia, Chicago, Minneapolis, and even global destinations like Southeast Asia and France witnessing heightened economic activity characterized by surges in hospitality bookings and tourism revenue. As Swift's tour goes to Toronto, anticipation grows.

"Swiftonomics" goes beyond a clever term; it signifies a phenomenon that underlines the capacity of a cultural event to reshape economies. This amalgamation of Swift's allure, a renewed post-pandemic enthusiasm, and strategic economic timing creates a potent recipe for stimulating economic growth and rejuvenation. In essence, "Swiftonomics" is a testament to the broader power of cultural phenomena to shape economic landscapes.

Nevertheless, not everyone is so convinced.

Pandemic Resurgence or Historic Trend?

Taylor Swift does not exist in a vacuum. Like everyone else, she is impacted by global trends and forces outside Swiftian economic power. The Covid-19 pandemic is one of those forces. Mara Klaunig, a senior analyst at financial research firm Camoin Associates, chalks up that a large part of the *Eras* tour success is due in part to the want of people to get outside and just do something after being stuck inside for north of 2 years battling a horrific global pandemic (9). And while this is true, there is also more to it. Swiftonomics is not alone at the intersection of pop culture and economic study.

Before Taylor Swift. Major groups Like world-renowned Korean pop (K-pop) sensations BTS and other K-pop groups have proved to be

economic powerhouses of their own. Professor Kim Seiwan from Ewha Womans University in Korea estimated that K-Pop generates about \$10 billion for the country each year (10). BTS alone generates about \$5 billion annually (11). The K-pop wagon is so intense that Spotify reported monthly average K-Pop streams worldwide reached over 7.97 billion per month. The same year, #KpopTwitter broke its record with 7.8 bn global Tweets; the previous record was 6.7 bn Tweets in 2020. With numbers of that magnitude, the economic churn out is not surprising (12).

Moreover, this is not a recent phenomenon either. Beatlemania (the Beatle's version of being a Swiftie) generated about \$7.5 million (in today's money) from 32 shows in 26 venues in 24 cities in just 33 days during their 1964 North American Tour (13). A whiplash-inducing double-take set of numbers shows these cultural titans' scale. And while the direct economic impact of the tours is unknown in exact numbers, we can assume that with sellout shows across the region, hotels, shops, and restaurants alike saw significant economic upticks as the Beatlemania storm rolled through.

Thus, while economists like Augusta Saraiva, Mara Klaunig and others posit that the Swiftian economic wave is more due to her fame and a renewed vigour for live music, the historic trends seem to support a different theory. Music, specifically live music, catalyzes economic spending and growth even during financial hardship. Even during the Pandemic, K-pop brought billions to the South Korean economy. In turbulent times of the 60s, the Beatles could syphon millions from the pockets of willing and eager Americans.

Conclusion & Discussion

In conclusion, Taylor Swift's Eras tour, often called *Swiftonomics* or *Swiftian Economics*, has captivated global attention, sparking discussions among economists, policymakers, and fans alike. As the tour's economic impact permeates headlines worldwide, it prompts

contemplation on the substantial financial infusion into local economies and individual expenditures, even against the backdrop of a fragile global geo-economic landscape.

While the resurgence in post-COVID demand and willingness to pay a premium for witnessing a global superstar certainly contribute to the tour's success, it is essential to consider the larger context. Taylor Swift's phenomenon is not isolated; it fits within the broader history of mega stars propping up economies. Just as the Beatles generated economic whirlwinds during their heyday, modern counterparts like BTS and other K-pop groups have become economic powerhouses, generating billions for their respective countries.

This historical perspective hints at a recurring trend where music, particularly live performances, catalyzes economic activity even during challenging times. While factors like renewed enthusiasm for live music post-pandemic play a role, the underpinning theme is that cultural icons have consistently wielded a substantial economic influence throughout history.

As Taylor Swift's tour heads to Toronto, the anticipation is high. As other cities have experienced economic rejuvenation, Toronto is poised to reap similar benefits. With enthusiastic attendees, packed hotels, bustling shops, and an influx of spending, the city's economic landscape is poised for a substantial uplift. This aligns with the historical trend where cultural icons act as economic stimulants during prosperous and challenging times.

Swiftonomics presents an economic microcosm which we can use to explore the intersection of culture, tourism and local economies. Swiftonomics is not a fleeting occurrence, as some economists believe, but rather part of a broader historical pattern, highlighting the economic potency of cultural phenomena. While exceptional, Taylor Swift's Eras tour follows in the footsteps of iconic music legends that have consistently injected vitality into economies worldwide. As fans

flock to her performances, economies come alive, adding a dynamic layer to the timeless intersection of music, culture, and economic impact.

To draw out numbers to compare and contrast, further discussion needs to be had on the historic analysis of cultural phenomena and their impact on local economies. This paper lacks those numbers, and I implore those who will study Swiftonomics and this intersection further to remedy the gap I could not. For now, this serves as a base point for the study of the intersection at play and a conversation around the power of pop culture to reinvigorate economies beyond traditional means often implored.

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